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Canada Bread Reports 2006 Year-end and Fourth Quarter Financial Results

Toronto, Ontario – February 22, 2007 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the fourth quarter and year ended December 31, 2006.

"Overall we held our performance in a year of record high wheat prices and volatile energy prices," said Richard Lan, President and CEO of Canada Bread. "Our fresh bakery operations had another strong year, supported by our brands, innovative market leadership and pricing to offset rising costs. Our UK Bakery is on a solid growth trajectory, benefiting from major investments in additional capacity and acquisitions that have established us as a leading specialty bakery in the United Kingdom. Our fresh pasta business expanded capacity, new product lines and market reach. Our earnings performance was impacted by challenges in our North American frozen bakery business, where price increases lagged rising input costs and we experienced some operating challenges. Our focus in 2007 is on growing the top line through innovation and category expansion, and restoring profitability in our frozen business."

Sales for the fourth quarter increased by 15% to $355.5 million from $308.8 million the prior year, while sales for the year increased 9% to $1.3 billion compared to $1.2 billion last year. Excluding acquisitions, sales increased by 8% in the fourth quarter and 6% for the year, largely due to price increases and improvement in sales mix.

The following table is a summary of net earnings and earnings per share ("EPS"):

($ millions)	Fourth Quarter			Full Year		
	2006	2005	Change	2006	2005	Change
Net earnings as reported	14.0	18.7	(25%)	53.6	74.9	(29%)
Restructuring and other related costs, net of tax	3.7	-		3.7	3.2	
U.S. tax adjustment	-	-		21.2	-	
Net earnings before restructuring and other related costs and U.S. tax adjustment (i)	17.7	18.7	(5%)	78.5	78.1	1%
EPS before restructuring and other related costs and U.S. tax adjustment (i)	$0.70	$0.74	$(0.04)	$3.09	$3.07	$0.02

(i) These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and the non-recurring U.S. tax adjustment are not representative of continuing operations.

Net earnings after restructuring and other related costs has decreased to $14.0 million ($0.55 per share) from $18.7 million ($0.74 per share) in 2005.

Operating Review

Earnings from operations before restructuring and other related costs for the fourth quarter increased to $26.4 million compared to $25.7 million last year, while earnings from operations before restructuring and other related costs for the year increased to $113.4 million from $111.1 million last year. Comparisons of earnings from operations exclude $5.5 million ($3.7 million after tax) of restructuring and other related costs in the fourth quarter of 2006 and $4.7 million of restructuring and other related costs ($3.2 million after tax) in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of ongoing operating earnings.

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects operating earnings by business segment before restructuring and other related costs:

Earnings from Operations before Restructuring and Other Related Costs

($ millions)	Fourth Quarter			Full Year		
	2006	2005	Change	**2006**	2005	Change
Fresh Bakery	**20.0**	16.3	23%	**93.9**	82.0	15%
Frozen Bakery	**6.4**	9.4	(32%)	**19.5**	29.1	(33%)

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales increased to $227.6 million in the fourth quarter from $208.7 million last year. Sales for the full year were $898.8 million compared to $851.5 million last year. Sales increases were driven by price increases and sales mix improvements that more than offset some volume decline in fresh bread which resulted from overall market softness.

Earnings from operations in the fourth quarter increased to $20.0 million from $16.3 million last year. Fresh bakery operations had a strong quarter as a result of improved sales mix and operating improvements, and price increases that took effect earlier in the year to cover the significant rise in fuel and wheat costs. The business also benefited from new product innovation, including *Dempster's* and *POM Smart* breads that were launched earlier this year, a white bread product made with a new enriched whole wheat flour that provides the health attributes of whole grain bread.

Earnings from operations for the year increased to $93.9 million from $82.0 million last year due to price increases and an improved mix of higher margin bakery products, supported by an ongoing focus on new product innovation, higher nutrition products and investment in brand building. Fresh pasta earnings increased for the year, expanding whole grain higher nutrition product lines and adding capacity through investment in the Company's manufacturing plant in Vancouver, British Columbia.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the fourth quarter increased to $127.9 million from $100.1 million last year, while sales for the year increased to $436.1 million from $375.5 million last year. A significant portion of the sales increase reflected the contribution of acquisitions in the United Kingdom. Excluding acquisitions, sales increased by 7% in the fourth quarter and 5% for the year.

Frozen bakery earnings from operations for the fourth quarter decreased to $6.4 million from $9.4 million last year. Frozen bakery earnings from operations for the year decreased 33% to $19.5 million from $29.1 million last year. This decrease in operating earnings was due to higher wheat and distribution costs and higher operating costs at the Roanoke, Virginia facility.

The UK bakery business had another strong quarter, although earnings growth was offset by higher marketing and promotional investments to continue to build market growth and the New York Bagel brand. Earnings also benefited from the contribution of recent acquisitions and increased production at the new bagel plant in Rotherham. In December the Company announced the acquisition of the French Croissant Company Ltd. and Avance (U.K.) Limited, with combined annual sales of approximately $85 million. These operations manufacture high quality croissants products and fresh and frozen specialty bakery items such as baguettes. Included in the fourth quarter results is one month's activity from these acquisitions. Through these investments, the Company now operates one of the largest specialty bakery businesses in the United Kingdom, with leading market shares in the bagel and croissant categories.

Restructuring and Other Related Costs

During the fourth quarter, the company recorded restructuring and other related costs of $5.5 million ($3.7 million after tax). These restructuring and other related costs are attributable to the closure of a fresh bakery in Langley, British Columbia, and lease termination costs related to the exit of a non-core business.

Cash Flow and Financing

The Company continued to generate strong operating cash flow in 2006. Cash flow from operations was $36.5 million for the fourth quarter compared to $36.9 million in the prior year; for the year operating cash flow of $106.3 million compared to $115.1 million in 2005. Interest expense increased slightly to $1.0 million for the fourth quarter compared with $0.8 million for the same period last year. The increase in interest expense was due to higher floating interest rates and an increase in average debt balances outstanding which resulted from acquisitions completed in the fourth quarter of 2006. For the year, interest expense was $3.7 million, compared to $5.4 million in 2005. The decrease in interest expense for the year was due to debt reductions in the first three quarters of 2006, as cash from operations exceeded capital expenditures.

Capital expenditures for the fourth quarter increased to $15.5 million from $11.8 million last year, while capital expenditures for the year were $48.0 million compared to $54.7 million last year. The largest capital projects in 2006 related to capacity expansion in the Vancouver, B.C. pasta facility and capacity expansion in the U.K.

Taxes

The effective tax rate for the quarter has increased to 30.7% in 2006 from 27.3% in the prior year, as the Company is no longer able to record the benefit of accumulated tax losses in its U.S frozen business due to the application of accounting rules triggered in the third quarter of 2006.

Forward-Looking Statements

This document may contain forward-looking information within the meaning of applicable securities legislation. Forward looking information is based upon a number of assumptions and is subject to a number of risks and uncertainties, many of which are beyond the Company's control, that could cause actual results to differ materially from those that are disclosed in or implied by such forward looking information. Any forward-looking information in this press release speaks as of the date of this press release. Canada Bread does not undertake to update any such forward looking information whether as a result of new information, future events or otherwise. Additional information about these assumptions and risks and uncertainties is contained in the filings with securities regulators including the annual information form and Management's Discussion and Analysis accompanying the financial statements in the reports to shareholders. These filings are available on the Company's website at www.canadabread.ca.

Other Matters

The Company declared a dividend of $0.06 per share payable on April 2, 2007 to shareholders of record on March 16, 2007. Unless indicated otherwise in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2007 or a subsequent year is an eligible dividend for the purposes of the “Enhanced Dividend Tax Credit System.”

Canada Bread, which is 88.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2006 sales of $1.3 billion and employs approximately 8,700 people at its operations across North America and in the United Kingdom.

Consolidated Interim Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three months and twelve months ended December 31, 2006 and 2005

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

		As at December 31,
	2006	2005
ASSETS		
Current assets		
Cash and cash equivalents	$ **-**	**$** 11,382
Accounts receivable (Note 3)	**57,272**	22,070
Inventories	**46,081**	35,955
Future tax asset – current	**5,873**	5,327
Prepaid expenses and other assets	**3,576**	2,142
	112,802	76,876
Property and equipment	**374,647**	353,669
Goodwill	**372,980**	314,949
Other long-term assets (Note 2(a))	**58,115**	1,252
Future tax asset – non-current	**403**	8,669
Other intangibles	**5,321**	5,948
	$ 924,268	$ 761,363
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities		
Bank indebtedness	**$ 1,130**	$ -
Accounts payable and accrued charges	**169,134**	136,385
Due to Maple Leaf Foods Inc.	**9,336**	4,736
Dividends payable	**1,525**	1,525
Income and other taxes payable	**23,336**	22,624
Current portion of long-term debt	**9,494**	226
	213,955	165,496
Long-term debt (Note 2(a))	**86,471**	32,083
Future tax liability	**29,611**	23,303
Other long-term liabilities	**5,787**	5,749
Shareholders' equity	**588,444**	534,732
	$ 924,268	$ 761,363

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

	Three months ended December 31,		Twelve months ended December 31,	
	2006	2005	**2006**	2005
	(Unaudited)	*(Unaudited)*		
Sales (Note 2(a))	**$ 355,479**	$ 308,831	**$ 1,334,932**	$ 1,227,005
Earnings from operations before restructuring and other related costs	**26,391**	25,717	**113,410**	111,072
Restructuring and other related costs (Note 4)	**(5,484)**	–	**(5,484)**	(4,723)
Earnings from operations	**20,907**	25,717	**107,926**	106,349
Other income	**292**	879	**432**	1,868
Earnings before interest and income taxes	**21,199**	26,596	**108,358**	108,217
Interest expense	**1,026**	835	**3,656**	5,386
Earnings before income taxes	**20,173**	25,761	**104,702**	102,831
Income taxes (Note 7)	**6,185**	7,024	**51,152**	27,909
Net earnings for the period	**$ 13,988**	$ 18,737	**$ 53,550**	$ 74,922
Earnings per share - basic	**$ 0.55**	$ 0.74	**$ 2.11**	$ 2.95
Earnings per share - diluted	**$ 0.55**	$ 0.74	**$ 2.11**	$ 2.93
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.24**	$ 0.24
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

	Twelve months ended December 31,	
	2006	2005
Retained earnings, beginning of period	**$ 406,649**	$ 337,827
Net earnings for the period	**53,550**	74,922
Dividends declared ($0.24 per share; 2005: $0.24 per share)	**(6,100)**	(6,100)
Inter-company acquisitions (Note 6)	**(3,366)**	-
Retained earnings, end of period	**$ 450,733**	$ 406,649

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

	Three months ended December 31,		Twelve months ended December 31,	
	2006	2005	**2006**	2005
	(Unaudited)	*(Unaudited)*		
		(As restated Note 2(b))		(As restated Note 2(b))
CASH PROVIDED BY (USED IN)				
Operating activities				
Net earnings	**$ 13,988**	$ 18,737	**$ 53,550**	$ 74,922
Add (deduct) items not affecting cash:				
Depreciation and amortization	**11,606**	12,153	**45,010**	44,351
Future income taxes	**(1,502)**	(1,762)	**14,028**	(1,814)
Gain on sale of property and equipment	**(262)**	(824)	**(330)**	(1,695)
Other	**(642)**	(50)	**(1,652)**	(428)
Change in restructuring and other related costs (Note 4)	**3,881**	(638)	**3,527**	647
Change in non-cash operating working capital	**9,462**	9,314	**(7,791)**	(889)
	36,531	36,930	**106,342**	115,094
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(6,100)**	(6,100)
Increase/(decrease) in long-term debt	**49,443**	(24,996)	**7,306**	(54,239)
	47,918	(26,521)	**1,206**	(60,339)
Investing activities				
Additions to property and equipment	**(15,521)**	(11,816)	**(47,998)**	(54,730)
Proceeds from sale of property and equipment	**301**	1,178	**1,744**	2,237
Purchase of net assets of businesses, net of cash acquired (Note 5)	**(71,976)**	**–**	**(73,841)**	**–**
Change in intangible assets	**8**	(79)	**35**	(192)
	(87,188)	(10,717)	**(120,060)**	(52,685)
Change in cash and cash equivalents	**(2,739)**	(308)	**(12,512)**	2,070
Cash and cash equivalents, beginning of period	**1,609**	11,690	**11,382**	9,312
Cash and cash equivalents, (bank indebtedness), end of period	**$ (1,130)**	$ 11,382	**$ (1,130)**	$ 11,382

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

	Three months ended December 31,		Twelve months ended December 31,	
	2006	2005	**2006**	2005
	(Unaudited)	*(Unaudited)*		
Sales (Note 2(a))				
Fresh Bakery	**$ 227,606**	$ 208,726	**$ 898,797**	$ 851,476
Frozen Bakery	**127,873**	100,105	**436,135**	375,529
	$ 355,479	$ 308,831	**$ 1,334,932**	$ 1,227,005
Earnings from operations, before Restructuring and other related costs				
Fresh Bakery	**$ 20,001**	$ 16,325	**$ 93,928**	$ 81,965
Frozen Bakery	**6,390**	9,392	**19,482**	29,107
	$ 26,391	$ 25,717	**$ 113,410**	$ 111,072
Additions to property and equipment				
Fresh Bakery	**$ 13,093**	$ 10,598	**$ 36,109**	$ 29,814
Frozen Bakery	**2,428**	1,218	**11,889**	24,916
	$ 15,521	$ 11,816	**$ 47,998**	$ 54,730
Depreciation and amortization				
Fresh Bakery	**$ 6,064**	$ 6,006	**$ 23,286**	$ 22,907
Frozen Bakery	**5,542**	6,147	**21,724**	21,444
	$ 11,606	$ 12,153	**$ 45,010**	$ 44,351

	As at December 31,	
	2006	2005
Total assets (Note 2(b))		
Fresh Bakery	**$ 378,311**	$ 362,488
Frozen Bakery	**529,360**	375,079
Non-allocated assets	**16,597**	23,796
	$ 924,268	$ 761,363
Goodwill		
Fresh Bakery	**$ 128,251**	$ 129,066
Frozen Bakery	**244,729**	185,883
	$ 372,980	$ 314,949

The accompanying notes to the consolidated financial statements are an integral part of these statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or “the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2006.

(a) Accounting Changes

Effective September 30, 2006, the Company changed its financial statement presentation prospectively to disclose long-term debt to Maple Leaf separately from the long-term swap receivable from Maple Leaf because it is no longer certain that the remaining debt and foreign currency swap will be settled simultaneously. Had the prior period been presented on this basis, the impact would be an increase in total assets and total liabilities of $56.4 million as at December 31, 2005.

Effective January 1, 2006 the Company adopted retroactively, with restatement of prior periods, the guidance presented in Emerging Issues Committee (“EIC”) Abstract 156 “Accounting by a Vendor for Consideration Given to a Customer (including a Reseller of the Vendor’s Products)”. The EIC requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive an identifiable benefit in exchange for the consideration. The impact of the adoption of this standard was a reduction in sales for the quarter of approximately $32.3 million (2005: $30.0 million) and year-to-date of approximately $131.0 million (2005: $119.5 million). This accounting change had no impact on operating earnings, net earnings or earnings per share.

(b) Comparative figures

Certain 2005 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2006.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains limited recourse obligations for delinquent receivables. At December 31, 2006, trade accounts receivable being serviced under this program amounted to $70.0 million (2005: $70.0 million).

4. RESTRUCTURING AND OTHER RELATED COSTS

During the fourth quarter, the Company recorded restructuring and other related costs of $5.5 million ($3.7 million after tax). These costs related primarily to the closure of a fresh bakery plant in British Columbia. The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in the fourth quarter of 2006 as well as the related liability as at December 31, 2006.

	Severance	Site closing	Asset impairment	Total
2006 Restructuring and other related costs				
Charges during fourth quarter	**$ 2,525**	**$ 1,428**	**$ 1,531**	**$ 5,484**
Cash draw-downs	**–**	**(67)**	**–**	**(67)**
Non-cash items	**–**	**–**	**(1,531)**	**(1,531)**
Balance at December 31, 2006	**$ 2,525**	**$ 1,361**	**$ –**	**$ 3,886**

During the first quarter of 2005, the Company recorded $4.7 million in restructuring and other related costs ($3.2 million after tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf. Included in the $4.7 million were provisions of $1.4 million relating to employee terminations, facility exit costs and other restructuring costs. Of the $1.4 million in provisions, $0.4 million was paid in 2006.

5. ACQUISITIONS

(a) On November 27, 2006, the Company purchased The French Croissant Company Ltd. (“FCC”) and Avance U.K. Limited (“Avance”), two related bakeries in the U.K. for total consideration of £29.1 million ($63.9 million). FCC markets croissants and specialty goods across the U.K., and Avance is a leading supplier of fresh, frozen and long-life specialty bakery items. The Company has not yet finalized the purchase equation for these acquisitions.

(b) On October 2, 2006, the Company acquired the shares of Royal Touch Foods Inc. (“Royal Touch”), a pre-packaged sandwich supplier based in Etobicoke, Ontario, for $7.9 million net of estimated cash acquired of $0.8 million. The Company purchased 50% of the Royal Touch

shares from Maple Leaf and acquired the remaining shares from an unrelated third party for the same price. The purchase price is subject to an adjustment based on the net assets of Royal Touch as at the acquisition date. As at December 31, 2006 the purchase price adjustment has not yet been determined.

(c) On March 24, 2006 the Company acquired the assets and operations of Harvestime Limited ("Harvestime"), a bakery in Walsall, England for £1.0 million ($2.0 million). Harvestime is a producer of par-baked breads, rolls and specialty bakery products. As at December 31, 2006, the Company has finalized the purchase price allocation and goodwill of $0.7 million resulting from the transaction has been included in the total assets of frozen bakery segment.

	Harvestime	Royal Touch	FCC/ Avance	**2006 Total**
Cash acquired	$ –	$ 812	$ –	**$ 812**
Non-cash working capital	76	822	(862)	**36**
Property and equipment	1,168	574	14,293	**16,035**
Non-current future tax liability	–	(44)	–	**(44)**
Goodwill	716	3,220	50,512	**54,448**
Retained earnings (Note 6)	–	3,366	–	**3,366**
Total purchase price	$ 1,960	$ 8,750	$ 63,943	**$ 74,653**

6. RELATED PARTY TRANSACTION

As discussed in Note 5(b) the Company purchased 50% of Royal Touch shares from Maple Leaf for $4.5 million. For accounting purposes this is considered a related party monetary transaction without a substantive change in ownership as Maple Leaf indirectly retained an 87.5% interest in Royal Touch. Accordingly, the Company has recorded the investment in Royal Touch at the carrying amount recorded by Maple Leaf. The difference between the carrying amount and the purchase price amount is equal to $3.4 million and is recorded as a reduction of retained earnings.

7. INCOME TAXES

In accordance with CICA Handbook section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses, and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. frozen bakery business, there is now sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, in the third quarter the Company recorded a

valuation allowance of US$19.2 million ($21.2 million) against the full amount of the related net future tax asset related to tax losses in the U.S.

8. SUPPLEMENTAL CASH FLOW INFORMATION

	Three months ended December 31,		Twelve months ended December 31,	
	2006	2005	**2006**	2005
Net interest paid	**$ 932**	$ 808	**$ 3,811**	$ 5,890
Net income taxes paid	**7,344**	5,437	**40,914**	33,176